

GCC 360

Policy, Economics & Market Access Insights



ABOUT THE EXPERT CONTRIBUTOR

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His research covers Gulf economic diversification, industrial policy, trade, labour markets, the knowledge economy, climate change, and the political economy of Gulf states. His policy research has been published at global institutions, including the London School of Economics, the Arab Gulf States Institute in Washington, the Gulf International Forum, and the Washington Institute for Near East Policy. His expert commentary appears in news outlets like the New York Times, The Washington Post, DW, AFP, Al-Monitor, Orient XII, The National, and The Peninsula, and he has been an on-air expert for the BBC, Al Jazeera, CGTN, and others.

His academic articles have been published in leading journals like the Economic Journal, the Proceedings of the National Academy of Sciences, the American Economic Journal, and the Journal of the European Economic Association, and have been cited close to 1000 times.



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1. GCC MACRO & BUSINESS SNAPSHOT

	Saudi Arabia	UAE	Qatar	Kuwait	Bahrain	Oman
CPI (y/y %)	1.6 (May)	2.0 (Dec 2025)	2.2 (May)	2.6 (May)	2.3 (May)	3.8 (May)
Equity index (m/m %)	-2.2	+0.7	-3.1	-3.0	+0.16	-3.2
PMI	53.3 (+0.5)	50.8 (-1.8)	47.6 (+1.7)	50.0 (+2.8)	N/A	N/A
Maritime trade (m/m %)	+1.4	+78.6	+32.0	n.m (near-zero may hased)	+32.4	-7.0

Notes: Figures are for the last completed month unless a different reference month is shown in parentheses. CPI: headline inflation, year-on-year (IMF, with national-source override where fresher). Equity: month-on-month index return; Saudi Arabia/UAE/Qatar/Kuwait = iShares MSCI ETF (USD); Bahrain = BHBX All Share Index; Oman = MSX30. PMI: S&P Global / Riyadh Bank, with month-on-month change in parentheses (Saudi Arabia, UAE, Qatar, Kuwait; no series for Bahrain or Oman). Maritime trade: month-on-month change in total seaborne trade (imports + exports by tonnage) through each country's ports, from IMF PortWatch — near-real-time AIS shipping estimates (not official customs data). N/A = not available or not published for this market.

2. FEATURE ANALYSIS

The Reopening That Didn't Hold: Pricing Hormuz Risk After the June Ceasefire

On 17 June, the US–Iran framework reopened the Strait of Hormuz and the oil market treated the crisis as closed. Brent, which had cleared \$120/barrel during the war, fell back below \$75. A month on, that verdict looks premature. Gulf shipping has been running well below pre-war levels, war-risk insurance is climbing again, and since the first week of July the ceasefire itself has begun to come apart with fresh attacks on tankers in the strait and renewed US–Iran strikes. For companies with Gulf exposure, the operative question is no longer when normal service resumes but rather what to plan for when "the war is over" is announced and then does not hold.

The reopening has already been reversed. Since 7 July, Iran has been attacking tankers in the strait; Washington revoked the licence permitting Iranian oil sales and struck Iranian targets, and targets in Iran and the GCC have been bombed daily. President Trump declared the interim agreement "over," raising the prospect of a fresh blockade, while the IRGC has declared the strait "closed." Marine war-risk premiums, which had eased toward 2% of hull value, jumped to 3% within a day, with underwriters quoting 5% and some advising owners to pause Hormuz transits altogether (pre-war rate was near 0.25%). Brent moved more than 5% in a single session. A ceasefire that one party can revoke this easily does not truly change the risk environment. Consequently, insurers are pricing the option on the strait remaining de facto closed.

Even before this dramatic downturn, the reopening had been more on paper than happening in practice, because vessels return only once insurers, charterers and crews judge the passage safe, and that judgment lags the diplomatic signal by weeks.

Our PortWatch reading for June put Gulf-side seaborne trade volume around 80% below pre-war levels, with Kuwait back to only a fifth of its March throughput, a genuine rebound against May's near-total collapse, but a slight and fragile one. Since the 7 July attacks, tanker traffic has ground again to a standstill, with owners pausing Hormuz transits altogether.

But the most durable costs are physical, and they will outlast any diplomacy. Iran's March strike on Qatar's Ras Laffan disabled two LNG trains worth about 17% of Qatari capacity, or 12.8 million tonnes a year, and the force majeure could run five years, because the large-frame turbines involved come from only three manufacturers worldwide, all backlogged. Bahrain's Sitra refinery, hit in March, remains offline, and Rystad now puts Gulf energy-infrastructure damage near \$58 billion, twice its initial estimate. Rerouting cannot close the gap either: the pipeline bypasses around Hormuz are capacity-capped and leave most disrupted volume stranded. None of this is remedied by a signature, as the timeline is determined by hardware, drones, and insurers.

Taken together, despite the temporary respite, the shock is not clearing, signalling that the crisis-generated cost markup has become endemic: Hormuz disruption may have started as a single event but now behaves as a recurring condition. The correct planning assumption has moved from a return to the pre-war status to pricing in intermittent disruption at best, a full and prolonged resumption of war at worst.

DECISION RELEVANCE

Do not unwind war-risk posture on the strength of the June reopening. The hedges, buffer stocks and force-majeure provisions built during the war remain warranted, as evidenced by the events of early July. Treat 60–70% of pre-war Hormuz throughput as the base case for 2026–27 planning rather than full normalisation, and stress-test margins and delivery timelines against a renewed closure lasting weeks. Capital committed to corridor diversification (Red Sea, Fujairah and Yanbu loading, alternative routing) is better kept as insurance than cut as a cost to trim now that the headline risk appears to have passed. A full-scale re-escalation will be more disruptive this time, as strategic oil reserves have been drawn down and an expansion into Bab al-Mandeb looks plausible.

3. GEOPOLITICAL RISK TRACKER

HORMUZ: THE REOPENING REVERSES (MARITIME AND ENERGY)

On 7 July, three tankers were attacked in the Strait of Hormuz. The US revoked the waiver on its sanctions of Iran's oil exports, and Trump declared the June truce "over." Marine war-risk premiums jumped from about 2% to 3% of hull value within a day, Hormuz transit has come to a standstill again. Companies moving oil, gas or containers through the Gulf should hold war-risk cover, buffer stocks and force-majeure provisions rather than unwind them, and budget freight and insurance around a strait that can re-close at short notice.

IRAN STRIKES ON KUWAIT AND BAHRAIN (MAINLAND AND AVIATION)

On 28 June, the IRGC struck the US Ali Al Salem airbase in Kuwait and US Fifth Fleet sites in Bahrain, where a missile damaged a residential building in Muharraq near the international airport; a vessel in the Gulf was hit, killing a Qatari civilian. The attacks brought the war back onto GCC soil and prompted UAE adviser Anwar Gargash to call for a unified Gulf security stance. Firms with staff, aviation exposure or fixed operations across Kuwait and Bahrain should review business-continuity and evacuation plans and expect intermittent airport and airspace disruption.

UAE ACCELERATES 'ZERO HORMUZ' ROUTING (LOGISTICS)

In early July, the UAE stepped up its plan to cut dependence on the Strait of Hormuz toward zero, centred on expanding its Gulf-of-Oman ports (Fujairah, Khor Fakkan, Dibba) and a second crude pipeline to Fujairah that would lift bypass capacity above 3.5 million b/d. Gulf ports risk ceding transshipment share to India and Sri Lanka as cargo reroutes. Shippers and traders should build longer lead times and transshipment costs into Gulf supply chains and treat the eastern seaboard, not Hormuz, as the region's growth capacity. But note that this shift is years off (the second Fujairah pipeline is due only in 2027) and that the Emirati eastern seaboard is itself within Iranian missile range.

4. REGULATORY & POLICY DEVELOPMENTS

Saudi Arabia — Foreign real estate

On 23 June, the Cabinet approved the Executive Regulation of the non-Saudi real-estate ownership law (in force since January) and endorsed the zones open to foreign buyers → foreign residents and investors can now acquire residential and investment property in most cities (Makkah and Madinah restricted), opening a direct market-entry route for developers and funds.

Kuwait — Investor residency

Kuwait launched a 15-year residency scheme for foreign investors meeting a KD5 million (~\$16m) threshold → a new channel to anchor long-term foreign capital and senior talent while the war weighs on the domestic economy.

DIFC — AI data rules

The DIFC proposed AI-focused data-protection regulations on 20 June → firms running AI or processing personal data in the centre should prepare for tighter compliance and disclosure obligations.

Saudi Arabia — Tourism access

Saudi Arabia expanded eVisa eligibility to 66 nationalities on 8 July → easier inbound travel and a wider customer base for hospitality, events and Vision-2030 tourism operators.

5. WHAT TO WATCH

1. OPEC+ meeting, 2 August

The seven-member group has kept raising quotas (a further 188,000 b/d for August, decided 5 July). Watch whether it presses on with paper increases and Hormuz disruption caps physical exports: a widening gap between quota and shipped barrels means more price volatility, not more supply.

2. US-Iran framework, through mid-August

The 17 June truce nominally opened a 60-day negotiating window (to ~16 August) but was declared "over" on 7 July. Whether talks resume or formally collapse is the main swing factor for Q3 freight, insurance and fuel costs: a credible return to negotiations is the cue to lock in forward cover before rates ease, while a collapse means holding buffer stocks and war-risk cover and pricing contracts off a strait that stays shut.

3. War-risk premiums and Hormuz throughput

Track the next Lloyd's Joint War Committee review and weekly transit counts. Treat a sustained recovery above ~40–50% of normal, or premiums easing back toward 1% of hull value, as the earliest hard trigger to begin unwinding contingency routing and rebuilding just-in-time inventory; read anything short of that as reason to keep paying for resilience. These market signals are a more reliable planning input than political announcements.



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